

Accounting Manual for Urban Local Bodies

Part - 3 : Guidelines for preparation
of Opening Balance Sheet



Government of West Bengal
Change Management Unit

KOLKATA URBAN SERVICES FOR THE POOR

ACCOUNTING MANUAL FOR URBAN LOCAL BODIES

Part 3 : Guidelines for preparation of Opening Balance Sheet



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FOREWORD

Urban Local Bodies currently maintain their day-to-day accounts under Cash-based single entry system. This accounting method does not take into consideration receivables, payables, non-cash items of expenditure, provisions etc., for which the real financial picture of the Urban Local Bodies remains obscure. To remove such deficiencies, Govt. of West Bengal is keen to introduce accrual-based double entry accounting system in ULBs in consonance with the current national policy of introducing this system in the local bodies.

Kolkata Urban Services for the Poor, an important programme of the Government of West Bengal assisted by Department for International Development of the Government of United Kingdom, has taken up the task of introducing this modern accounting system in forty of the ULBs. Modern accrual based system of accounting will enable better administration and informed decision-making in the Urban Local Bodies.

The ULBs under KJSP have enthusiastically started the task of converting their accounting system from single entry case based to double entry accrual based. Already significant progress has been made by a number of Urban Local Bodies in preparation of their opening balances.

This Manual comprehensively covers all aspects of the accrual based double entry system which will help the Urban Local Bodies in switching over. This will prove useful to us not only in introduction of this system in the forty ULBs under KJSP but also in extending this system to all ULBs in the State of West Bengal.

I am glad to note that this Manual has been prepared in lines of the National Municipal Accounts Manual of Government of India with necessary customization for the State. This Manual might also prove useful to other states which will make up this task.

I trust that this Manual will be used by the official of the ULBs entrusted with this work and will make their task easier. I request them to communicate any difficulty they may have in implementing this Manual to the Change Management Unit. All are welcome to give their feedback.

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PRELUDE

The Government of West Bengal has decided to introduce Accounting Reforms in its Urban Local Bodies. The Urban Local Bodies will be gradually switching over to the Accrual Based Double Entry system of Accounting. In the first phase the 40 Urban Local Bodies included in the DFID assisted Kolkata Urban Services for the Poor (KUSP) programme shall be converting to the new system. The Change Management Unit, KUSP has been entrusted with facilitating the conversion of the accounting system in the 40 ULBs. The ULBs were initially given a guideline for preparation of Opening Balances. The rest of the Accounting Manual is now complete and its being brought out for the use of the ULBs.

The Manual comprises 6 (six) parts, viz., (1) Introduction to Double Entry Accrual-based Accounting, (2) Accounting Principles, (3) Guidelines for preparation of Opening Balance Sheet, (4) Chart of Accounts, (5) Forms and Formats, and (6) Transaction Entries. A separate booklet for each of these six parts have been published. The task of implementation of the Accrual-based Double entry Accounting in the ULBs involve a number of stages, such as determination of Accounting Policies and Principles, preparation of Opening Balance Sheet, prescribing various Heads of Accounts with proper condification, prescribing formats of various MIS Reports, and the methodology of recording day-to-day financial transactions. The six parts of the Manual shall take care of these different tasks.

While preparing the Accounts Manual, the prescriptions of the National Municipal Accounts Manual published under the aegis of Ministry of Urban Development, Govt. of India, and the Comptroller & Auditor General of India, have been followed. In some cases the prescribed principles have been customized to suit the conditions of the stage. The contents of the present Accounts Manual shall henceforth be the guiding principles in the matters of the Accounting Reforms in the ULBs of West Bengal. After the publication of this Manual, one last task remains i.e. the amendment to the relevant provisions of the W.B. Municipal Act, 1993 and the W.B. Municipal (Finance and Accounting) Rules, 1999. The said task shall be taken up after the process of conversion of accounting system in the first few ULBs in successfully implemented.

I hope this Manual proves useful to all who will be using it. I also request the users of this Manual to give their feedback to the Change Management Unit, KUSP.

I take this opportunity to thank Sri Arnab Roy, the Project Director, and his team is CMU as well as all those associated with preparation of the Manual for their outstanding performance.

Dipankar Mukhopadhyay
Secretary, Municipal Affairs Department
Government of West Bengal

INTRODUCTORY NOTE

Switching over to the accrual based double entry system of accounting by Urban Local Bodies is one of the first of the Municipal Governance reforms being facilitated by the Kolkata Urban Services for the Poor programme. This manual has been prepared for use of the Urban Local Bodies in implementing the modern accounting system. The authors have attempted to make this as user friendly as possible and understandable by all

Detailed listing of assets and liabilities and compiling the preparatory opening Balance Sheet as on 1st April 2004 were the initial tasks of the Accounting Reforms in the 40 ULBs in the Kolkata Metropolitan Area. The set of Guidelines for preparing the opening Balance Sheet was therefore separately published about a year back. This part of the Manual contains these detailed guidelines for preparing the opening Balance Sheet which are already in use. These guidelines are not an exact copy of the relevant portions of the National Municipal Accounts Manual, but differ from NMAM due to variations in policies and ideals of the state from the generic assumptions of the NMAM. The format of Balance Sheet as prescribed in the present guidelines represents the vertical form of Balance Sheet showing Sources of Funds and Application of Funds. This format along with the prescribed Schedules forming part of the Balance Sheet are to be followed for preparing Balance Sheets in the future years.

I acknowledge the contribution of the following persons in bringing out this manual:

Shri Atanusasan Mukhopadhyay, Municipal Finance Expert in Change Management Unit, for leading, coordinating and managing the entire process;

Members of the Steering Committee formed for bringing out the Manual - Shri H. K. Das, Deputy Commissioner, Internal Audit Wing, Finance Department Government of West Bengal, Shri Anup Matilal, Project Manager, Change Management Unit, Kolkata Urban Services for the Poor, Shri Subir Kumar Bhattacharyya, Financial Adviser, SUDA, Sri D.K. Dwivedi, Deputy Municipal Commissioner, Kolkata Municipal Corporation, Sri Bharat Saha, Director of Finance, Kolkata Metropolitan Development Authority, Sri M.M. Alam, Finance Officer, SUDA, Sri Ajit Mullick, Finance Officer Bidhannagar Municipality, Sri Bikash Kanti Mondal, Finance Officer, Barrackpore Municipality, besides Shri Atanusasan Mukhopadhyay. The Steering Committee played an important role in guiding the manual development process and customization to the requirements of our State and ULBs;

The team of Pricewaterhouse Coopers, consultants to C.M.U., especially Shri Tarun Gupta who developed the drafts and redrafted them a number of times as required by the Steering Committee;

DFID India team who reviewed the work from time to time and gave their suggestions;

Shri Dipankar Mukhopadhyay the previous Secretary, Municipal Affairs Department, Government of West Bengal, Shri Debashis Som the present Secretary, Municipal Affairs Department, Shri Samar Ghosh, Principal Secretary, Finance, Government of West Bengal and Shri Samar Roy, Commissioner of Internal Audit and Principal Secretary, Internal Audit Department, Government of West Bengal who gave policy directions for development of the manual.

Feedback and suggestions are welcome.

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1. LIST OF ACRONYMS

<i>AS</i>	<i>Accounting Standard</i>
<i>CA</i>	<i>Chartered Accountant</i>
<i>CMU</i>	<i>Change Management Unit</i>
<i>CV</i>	<i>Curriculum Vitae</i>
<i>CWIP</i>	<i>Capital Work in Progress</i>
<i>DFID</i>	<i>Department for International Development, UK</i>
<i>DLB</i>	<i>Directorate of Local Bodies</i>
<i>F.Y.</i>	<i>Financial Year</i>
<i>FIFO</i>	<i>First-in-First-out</i>
<i>GAAP</i>	<i>Generally Accepted Accounting Policies</i>
<i>GIS</i>	<i>Geographical Information System</i>
<i>GO</i>	<i>Government Order</i>
<i>GoWB</i>	<i>Government of West Bengal</i>
<i>HUDCO</i>	<i>Housing and Urban Development Corporation Limited</i>
<i>ICAI</i>	<i>Institute of Chartered Accountants of India</i>
<i>ISC</i>	<i>Interim Support Consultants</i>
<i>KMA</i>	<i>Kolkata Metropolitan Area</i>
<i>KMDA</i>	<i>Kolkata Metropolitan Development Authority</i>
<i>KMC</i>	<i>Kolkata Municipal Corporation</i>
<i>KUSP</i>	<i>Kolkata Urban Services for the Poor</i>
<i>LIC</i>	<i>Life Insurance Corporation of India</i>
<i>MAD</i>	<i>Municipal Affairs Department</i>
<i>MB</i>	<i>Measurement Book</i>
<i>MED</i>	<i>Municipal Engineering Directorate</i>
<i>MoU</i>	<i>Memorandum of Understanding</i>
<i>MPLADS</i>	<i>Member of Parliament Local Area Development Scheme</i>
<i>No.</i>	<i>Number</i>
<i>PF</i>	<i>Provident Fund</i>
<i>PWD</i>	<i>Public Works Department</i>
<i>RD</i>	<i>Recurring Deposit</i>
<i>RTO</i>	<i>Regional Transport Office</i>
<i>SLM</i>	<i>Straight Line Method</i>
<i>ToR</i>	<i>Terms of Reference</i>
<i>ULB</i>	<i>Urban Local Bodies</i>
<i>UK</i>	<i>United Kingdom</i>

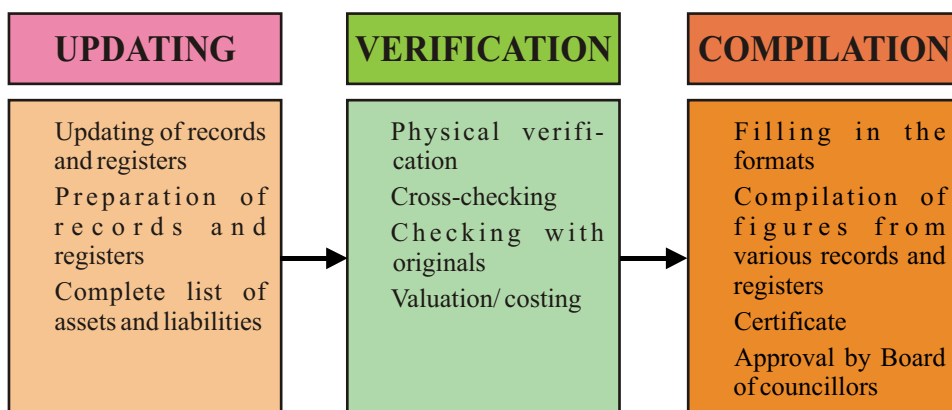
2. BACKGROUND

- 2.1. In terms of the recommendations of the CAG's Task Force on Accounting Reforms to be introduced in urban local bodies which were accepted at the national level, the Government of West Bengal has decided to introduce accrual based Double Entry System in all urban local bodies.
- 2.2. In the first instance it has been decided that this would be introduced in the 40 ULBs of Kolkata Metropolitan Area (except Kolkata Municipal Corporation), with support from the DFID assisted Kolkata Urban Services for the Poor programme. Gradually the accrual based double entry accounting system shall be introduced in all ULBs of West Bengal.
- 2.3 First step for switching over to the Double Entry System of Accounting is to prepare Opening Balance Sheet as on 1st April, 2004.

3. OBJECTIVE

- 3.1. The objective of this document is to provide guidelines to prepare opening balance sheet as on 1st April 2004 (hereinafter referred to as "balance sheet"). These guidelines will be followed by all the executing agencies in preparation of balance sheet for the ULBs concerned.
- 3.2. The document covers guidelines for recognition of assets and liabilities for the purpose of opening balance sheet. This would help in achieving uniformity in the preparation of balance sheet by the executing agencies.
- 3.3. The opening balance sheet as on April 1, 2005 will be prepared by adding the effect of transactions entered during F.Y. 04-05 (according to double entry principles) to the current balance sheet being prepared.
- 3.4. The guidelines are inclusive in nature and have been issued only for the material items. All effort has been made in making the guidelines as comprehensive as possible. In cases of minor issues, the executing agency will have the authority to take a decision after intimating the same to the CMU. In cases where there are major or material issues, a pre-approval from CMU and GoWB (if necessary) will be required.

4. THREE STEPS TO BALANCE SHEET



5. ACCEPTANCE OF BALANCE SHEET

- 5.1. Preparation of opening balance sheet will be regularly monitored by CMU or any other authority as may be decided by the Government. The balance sheet will be first approved and accepted by CMU or any such authority. Any comments of CMU or any such authority will have to be suitably incorporated.
- 5.2. The approved balance sheet will then be placed before the Board of Councillors of the ULB and will be approved and adopted by them.
- 5.3. The opening balance sheet shall also be submitted to the Accountant General (Local Bodies Audit), West Bengal, for their information.

6. COMMON GUIDELINES

- 6.1. All assets which are under the ownership and permissive possession of the ULB will be accounted for. Similarly all liabilities to be paid will also be brought in the books. In case of Hospitals and schools, if the asset is under a separate legal entity, then it would not form a part of the ULB's balance sheet
- 6.2. The separate legal entity includes hospitals, dispensaries, schools, maternity centres, nursing home formed as a society, trust, co-operative society, or a company formed under section 25 of the Companies Act, 1956.
- 6.3. The mere maintenance of a register should not be taken as sufficient for the purpose of arriving at the balance. The Executing agency will have to check the authenticity of all the entries. All entries shall be cross-checked with source documents before its compilation in the balance sheet.
- 6.4. Assets constructed/ purchased by some other agency/ Government and handed over to the ULB shall be accounted for on the basis of the ownership of the asset. If the ownership remains with the other agency, then it will not be recognised as an asset in the books of the ULB. If there has been a transfer

Guidelines for Opening Balance Sheet

of ownership without any consideration, then the asset shall be valued at Re. 1/- and recognised in the opening balance sheet. The balance sheet shall contain disclosure in the form of Notes with respect to following:-

- i. Assets, which are in ULB's possession and derive economic benefits, but the ownership of which does not vest in it e.g. market constructed by Urban Development Department and handed over to the ULB with a right to collect rent, title deed not being executed.
 - ii. The assets which are handed over to the ULB, but the title deed has not been handed over e.g. assets purchased/constructed by KMDA and handed over to the ULB for use and maintenance.
 - iii. Receivables from taxes, etc. not collected due to litigation.
 - iv. In case Demand and Collection Register is not updated or prepared, the ULB will have to prepare it and assess the amount of arrears.
- 6.5. Revenue shall be recognised only when it is measurable and there is reasonable certainty of collection. If the levy of any income or user charge is in dispute and any legal case is pending against it, it shall not be taken as the income of the ULBs.
- 6.6. The details of such Court cases and the amount if measurable shall be disclosed in the Notes to Accounts.
- 6.7. Revaluation of assets is not intended in this exercise. The Executing agency shall not go in for a revaluation mode and valuation shall be done on the basis of actual price paid/ payable.
- 6.8. Principle of conservatism shall be followed while preparing the opening balance sheet.
- 6.9. All the figures shall be in Rupees Thousands with decimals upto two places.
- 6.10. In the case of building/construction of an asset by an external Govt. controlled agency out of Govt. grants with the pre-condition that the asset thus built/ constructed would be immediately handed over to the ULB, the whole of the capital cost of the asset as well as the grant should be shown in the books of accounts of the said ULB on transfer of the asset.

7. IDENTIFICATION OF ASSET

- 7.1. The first task to be undertaken is identification of assets. Assets are spread over the entire ULB and an effort will be required by the ULB in identifying all assets both over and under the ground. Based on this identification, the Executing agency will undertake their task of physical verification.
- 7.2. Identification will be done by the Engineering and Accounts Departments based on their records, physical verification, books of accounts and GIS. The ULB can also take the assistance of the Councillors and other departments in its effort for identification of assets. Identification of assets will include listing of all material assets of the ULB including land, buildings, roads,

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water and sewerage assets, etc. It will also include listing and defining the condition and location of assets.

- 7.3. The process of identification of assets shall include the updation of records and registers prescribed under the West Bengal Municipal (Finance and Accounting) Rules, 1999 and formats as prescribed in the guidelines.

8. PHYSICAL VERIFICATION

- 8.1. Physical verification needs to be done only of material items. Items which are material e.g. 20% of items having 80% of value and high in value (replacement cost above Rs. 50,000/-) will be physically verified. The Executing agency shall use a representative sample and conduct physical verification. Use of GIS maps will be done for physical verification to the extent available.
- 8.2. In cases where a normal check and physical verification is possible, the Executing agency shall take proactive steps in ensuring that a physical verification is conducted.
- 8.3. The Executing agency should keep a record of all assets physically verified.

9. VALUATION OF ASSETS

- 9.1. Valuation of fixed assets will be done as per the following order of preference. The rates of depreciation have been dealt with in another section:
- 9.2. If both the cost and date of purchase/ construction is available/ascertainable - Original cost less depreciation
- 9.3. If cost is not available /ascertainable but the date of construction/ purchase is available:
 - 9.3.1. If the asset has outlived its estimated useful life, then it will be valued at Re. 1/-. Estimation of useful life will be done by the internal engineers of the ULB where annexure-6 to this guidelines is not exhaustive.
 - 9.3.2. **Buildings**
 - 9.3.2.1. If the building has not outlived its useful life, then valuation will be done based on per sq. feet rate or plinth area rate of that year. The MED/ competent Government Authority will issue an order specifying the plinth area rate or per sq feet rate to standardise the valuation. The internal engineers will conduct the exercise of estimation of value and provide it to the Executing agency. The value so obtained would be depreciated to arrive at depreciated value as on April 1, 2004.
 - 9.3.2.2. In case Standard Plinth area or per sq foot rate is not available, current replacement cost based on the recent plinth area rate or per sq. foot rate as prescribed above This will be deflated till the year of construction based on wholesale price index (index rates are provided in Annexure 5) and then depreciated.

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9.3.3. Other assets

9.3.3.1. Current replacement cost will be used. This will be deflated till the year of construction/ purchase based on wholesale price index (index rates are provided in Annexure 5) and then depreciated. Current rates from other manufacturers can be taken e.g. in case of vehicles.

- 9.4. In case neither the cost nor the date of purchase/ construction is available, valuation will be at Re 1/- , the same being considered as the residual value.
- 9.5. In case of land where the original documents are not available, valuation can be ascertained from relevant records of the Land Revenue Department or transaction value of a similar plot in the similar area around the estimated year of transaction .

10. FORMATS

- 10.1. Format for preparation of balance sheet and its schedule has been provided. The Executing agency will prepare the balance sheet in the same format and shall not make any changes in it without the permission of CMU or the appropriate authority. The significant accounting policies are also annexed to the formats.
- 10.2. A format for the "Certificate accompanying opening balance sheet as on 1st April 2004" is attached. The Executing agency authenticating and certifying the Balance Sheet will give this certificate along with the opening balance sheet.
- 10.3. Format of issue log for changes to this guidelines is also attached.
- 10.4. The figure in formats for opening balance sheet, shall be in Rs. thousands with decimals up to two places.
- 10.5. The West Bengal Municipal (Finance and Accounting) Rules, 1999 does not prescribe the formats for the following class of assets. Separate formats are being prescribed here, which shall be used in drawing up the opening balance sheet
- i. Vehicles
 - ii. Buildings
 - iii. Furniture and fixtures
 - iv. Office and other equipments
 - v. Statues and valuable works of art and antiquities
 - vi. Heritage buildings
 - vii. Infrastructure assets
- 10.6. The items to be filled in the formats will be taken from the existing registers maintained, e.g. list of vehicles can be obtained from Register of Stock and

Stores. It has to be noted that assets taken out from the existing records and filled in these new ones, should not be included for valuation twice. The following formats are attached as Annexure 7 to the guidelines.

11. FIXED ASSETS

11.1. Fixed assets in the case of ULBs can broadly be classified into the following categories:

Land and Buildings

Land

Buildings

Statues and heritage assets

Statues and valuable works of art and antiquities

Heritage Buildings

Infrastructure assets

Roads and Pavements

Bridges, culverts and flyovers

Subways and causeways

Sewerage and Drainage

Waterways

Water supply and reservoirs

Deep tube wells

Parks and playgrounds

Street light posts and Public Lighting

Equipments

Plant and Machinery

Vehicles

Office and other equipments

Furniture and fixtures

Livestock

Intangibles

Software license fees

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11.2. Valuation of fixed assets

11.2.1. Fixed assets will be recorded at cost. Cost is the amount of cash or cash equivalent paid or fair value of other consideration given to acquire an asset at the time of its acquisition or construction. All normal expenditure for making an item of asset ready for its intended use is capitalised. It also includes ancillary and necessary charges to place the asset in its intended location and condition for use e.g. freight and transportation charges, site preparation expenditure, professional fees and legal claim directly attributable to asset acquisition. Razing and removal cost (less salvage value) of structures located on land purchased as a building site are added to the cost.

11.2.2. For assets having useful life of more than 20 years, the residual value shall be considered as Re 1/- for the purpose of preparation of Opening Balance Sheet as on 1st April, 2004, in case the original cost cannot be ascertained.

11.3. Repairs, renovation and replacements, should be capitalised only if such expenditure increases the capacity or operating efficiency, or extends the useful economic life of the asset. In case of buildings, improvements causing major changes in the existing structure will be capitalised.

11.4. Parks and Playgrounds shall be capitalized under two categories, viz

- (i) Land pertaining to Parks and Playgrounds including the cost of development of land shall be booked under 'Land'.
- (ii) Other amenities of the Parks and Playgrounds should be capitalised under the sub-head "Parks and Playgrounds" under the head "Infrastructure Assets".

However, any building/ structures/ plant and machinery etc. constructed/ installed in the Parks and Playgrounds and used for other purposes should not be booked under the sub-head 'Parks and Playgrounds'. The same should be booked under the appropriate heads/ sub-heads of assets.

11.5. Land

At present the details with regard to land are being maintained by ULBs in Form 90, "Register of Lands", of the West Bengal Municipal (Finance and Accounting) Rules, 1999, hereinafter referred to as "Rules". The form captures sufficient information with regard to the situation, area, purpose and the way under which the asset is held i.e. whether acquired, taken on lease or taken on rent

All the land under the ownership or permissive possession of the ULB will form a part of the Opening Balance Sheet.

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Leasehold lands acquired by the ULB are taken as a part of assets at a total value payable as lease charges over the entire lease period and amortised equally over the lease period.

The information kept by the ULBs in the register of lands needs to be verified and cross checked from the books of accounts and agreement to authenticate and substantiate the information kept in the land register. The information needs to be cross-verified specially with regard to the date of purchase, cost of purchase and mode of purchase.

The land register has not been maintained and updated by most of the ULBs. The Executing agency shall conduct physical verification of all lands. The ULB will provide all technical assistance for conducting the physical verification. The GIS and records with the engineering department will give the details of all lands within the jurisdiction of the ULB.

The following recognition criteria shall be applied to arrive at the value of the lands

Land acquired through purchase

The land will be recorded at the purchase price paid/payable and other incidental costs such as registration charges incurred to bring the asset to its present location and condition.

Lands acquired through compulsory acquisition

The land will be recorded at the total compensation paid/ payable for the acquisition of the land. If the amount of compensation was in dispute, then the amount that will be recorded would be based on documentary proof. The extra amount, if determinable that may be payable will be shown as contingent liabilities and will be added to the cost of land when it is finally paid to the previous owner.

Land acquired against non-payment of taxes

The cost to be booked will be the unpaid amount of taxes after it has been finalised.

Land acquired free of cost or donated land

If the land has been acquired by ULB free of cost from government/individuals or has been donated to the ULB, then such lands would be recorded at nominal value of Re. 1/-. However any developmental work done should be capitalised at cost.

Vested government lands

Where the ownership of the lands has not been transferred in favour of the ULB, but the land is in the permissive possession of the ULB,

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such lands should be included in the Register of Land with Re. 1/- as its value. However, there should be a clear mention in the Register that in case the Government takes back the land at any point of time in future, reversal of entry shall be made in the Register of Lands. Cost of developing such lands, if any, should be booked under the sub-head 'Land'.

Land improvement

Original cost of any improvement to land such as land development and land filling will be capitalised as part of the cost of the land.

Land acquired through government grants

If the ULB has purchased land from the government grants, then the cost of the land will be shown at gross value i.e. cost paid/ payable or as determined according to the above guidelines. The grant received will be shown separately as a liability.

11.6. Buildings

In the case of ULBs the buildings shall include office buildings, school buildings, public conveniences, hospitals, dispensaries, maternity and child welfare centres, shopping complex, town hall buildings, community centres, staff quarters, rest house, milk dairy, workshop buildings, fire stations, stores building, covered taxi stands, covered parking areas, bus stands amongst others.

Presently the cost of buildings and other assets, if they are being constructed, are booked in Form 58, Register of Works. If the Buildings have been purchased/ transferred, then the ULBs maintain the details in the Assets Register.

Buildings purchased

- The purchase cost of the building shall include the purchase price cost and incidental costs such as registration charges and other costs incurred to bring the asset to its present location and condition.

Building constructed

- If the building has been constructed, then the cost of the building will be taken as the cost of construction. This can be obtained from Register of Works.

Grants received in respect of buildings

- If any grant has been received by the ULB for construction or purchase of the building, then the cost of the building will be taken as gross amount and the grant will be shown separately as a Source of Fund in the opening balance sheet. The cost of building and the

Guidelines for Opening Balance Sheet

amount of grant would be reduced proportionately each year by the amount of depreciation.

11.7. Statues and Heritage Assets

11.7.1. Statues and valuable works of art and antiquities will be valued at the original cost and no depreciation shall be charged thereon. In case, however, the original cost is not available or the items have been gifted to the ULB by some other person/ authorities, the value should be taken at Re 1/.

11.7.2. Heritage buildings declared through Gazette Notification should be booked under this head and should be valued at book value/cost of the material date. No depreciation should be charged on such buildings. In case, however the book value /cost of the material date is not available or the items have been gifted to the ULB by some other person/ authorities, the value should be taken at Re 1/-. Material date in this case would be the date of Gazette Notification.

11.8. Infrastructure assets

11.8.1. Infrastructure assets: Infrastructure assets are long-lived capital assets that normally are stationary in nature and can be preserved for a significantly greater number of years than most capital assets. Examples of infrastructure assets include roads, bridges, tunnels, drainage system, water and sewerage systems, dams, Deep tube wells, Parks and Playgrounds, Street Light Posts etc.

Infrastructure assets are classified as follows:

Roads and pavements

Bridges, culverts and flyovers

Subways and causeways

Sewerage and drainage

Waterways

Water supply and reservoirs

Deep tube-wells

Parks and Playgrounds

Street light posts and Public Lighting

Details for infrastructural assets is available in the register showing the list of all public streets, parks or transport terminals under section 81 of The West Bengal Municipal Act, 1993.

Cost of land shall not be taken here. It will be included in the valuation of lands.

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Cost of construction of infrastructure assets will be available in the "Register of works".

11.9. Plant and Machinery

The cost of plant and machinery will include, besides purchase price, costs such as site preparation costs and installation costs.

Presently the information with regard to plant and machinery is captured in the following records :-

- Register of tools and plants, maintained in accordance with Form no 91 of the Rules, captures information with regard to tools and plants, conservancy or watering carts, road rollers, earth moving vehicles, ladder, scale weights, water treatment plants, sewerage treatment plants, etc.
- Information with regard to the other equipments is being recorded in the Stock and Spares Register maintained in accordance with Form no. 59 of the Rules.
- The ULBs also maintain separate registers for movable assets.

Plant and machinery will include water and sewerage treatment plants.

The above registers record information with regard to cost, location and date of purchase of the various assets. The information contained in the register shall be verified with the documents available.

11.10. Vehicles

Vehicles include carts, hand rickshaws, animal drawn carts, three wheelers, four wheelers, and conservancy vehicles. Vehicles will be valued at cost less depreciation.

11.11. Office and other equipment

This will include all office and other equipments e.g. computers, photocopies, telephone, fax, fans, electrical equipments, air conditioners, etc.

11.12. Furniture and fixtures

This will include tables, chairs, fittings, etc.

11.13. Livestock

Livestock will be valued at cost.

11.14. Intangible assets e.g. Software license fees

Intangible assets in ULBs will generally be in the nature of expenditure on software. The Executing agency will assess the expenditure made in development or purchase of the intangible asset in the last 5 years and

Guidelines for Opening Balance Sheet

capitalise it as fixed asset. In case the intangible asset has been provided free of cost by another Government department, it will not be shown in the balance sheet. Expenditure below Rs. 1,00,000/- will not be considered as an intangible asset for the purpose of this balance sheet.

12. DEPRECIATION

- 12.1. Depreciation will be provided on all assets except land, on a Straight Line Method
- 12.2. The rate of depreciation will be determined in the following order of preference:
 - 12.2.1. 100% depreciation will be proportionately written off over the useful life of the depreciable assets. However, the last year's proportionate amount of depreciation should be reduced by Re.1/- which shall remain in the books of accounts as the 'residual value' of the asset.

Useful life of the asset will be estimated as follows:

Useful life for waterworks and sewage works has been provided in clause 208 of the W.B Municipal (Finance and Accounting) Rules, 1999

- For other assets it will be as per the Annexure 6 to the present Guidelines for preparation of Opening Balance Sheet as on 1st April, 2004

- 12.2.2. Rates as mentioned in Schedule XIV of the Companies Act, 1956
- 12.3. Depreciation on intangible assets will be charged at 20% per annum.
- 12.4. Depreciation shall be provided at full rates for assets, which are purchased/ constructed before October 1 of an Accounting Year. Depreciation shall be provided at half the rates for assets, which are purchased/ constructed on or after October 1 of an Accounting Year.
- 12.5. Purchase or construction of assets that have been done out of grants have been shown at gross value and the corresponding grant as a liability. An amount proportionate to the depreciation of the fixed asset should be deducted from the grant as well.

13. CAPITAL WORKS IN PROGRESS

- 13.1. The information with regard to capital work in progress can be obtained from the Register of Works maintained in accordance with Form nos. 57 and 58 of the Rules.
- 13.2. As per the procedures followed by the ULBs, once the details about the works are entered in the MB, the engineer prepares a bill and sends it to the accounts department, after necessary approvals, for payment. CWIP will be booked based on the gross amount of bill sent to the accounts department till

Guidelines for Opening Balance Sheet

31st March 2004. An effort will have to be made by the Executing agency to ensure that all bills approved till 31st March are taken into account. This may be ensured by checking prior dated bills till May 04.

- 13.3. Borrowing cost for CWIP will also be capitalized.
- 13.4. The assets, which have been commissioned and put to use, shall be taken out from the Register of Capital work in progress and booked under the respective heads of fixed assets.
- 13.5. The certificate that the asset has been put to use, shall be obtained from the Engineering department of the ULB.
- 13.6. The executing agency shall ensure that no maintenance expenses have been included in the Capital work in-progress.

14. LONG TERM INVESTMENTS

- 14.1. Long term investments are the investments which are held by the ULBs for more than one year.
- 14.2. At present, the ULB maintains the details of its investments in Form 88, Memorandum of Investments.
- 14.3. The Executing agency will do a 100% physical verification of the original certificates and documents.
- 14.4. Cost of investments will include acquisition charges such as fees, brokerage and duties.
- 14.5. Long term investments will be valued at cost.

15. CURRENT ASSETS

- 15.1. Current assets in the case of ULBs consist of the following

- Cash in hand
- Cash at bank
- Stores and spares
- Prepaid expenses
- Arrears of property tax
- Arrears of all other taxes, licenses and fees
- Interest on investments
- Interest on bank deposits
- Interest on loans and advances
- Recoverable deposits
- Receivables against Deposit works

Guidelines for Opening Balance Sheet

15.2. Cash in hand

Generally there is no balance of cash as all are deposited into the bank. But if there is any balance as on 31st March 2004, the same would be reflected from the Cash Book.

15.3. Cash at bank

Cash at bank consists of balance (a) with all banks and (b) at treasury. These two will be shown separately in the balance sheet.

The balance as per cashbook will appear in the balance sheet.

The difference between the cashbook and the bank statements will be reconciled by ULBs.

A disclosure shall be made in the Notes on Accounts with regard to the following:

The duration for which the bank reconciliation statements are pending;

Items in bank reconciliation which are either pending for a long period of time i.e. exceeding six months or with high value i.e. above Rs. 50,000/- (Rupees Fifty Thousand Only).

15.4. Stores and spares

Details with regard to stores and spares are maintained in Register of Stores and Spares which is in accordance with Form no. 59 of the Rules.

The Executing agency will prepare an updated list of items alongwith their quantity, value and date of purchase. In some cases, the Executing agency will need to segregate items, which are although a part of stores, but should not have been a part thereof e.g. vehicles. These will be classified in the appropriate account.

A list containing items, which have expired or are not in a condition to be used will be taken out from the list. The confirmation of the condemned or expired items is to be taken in the form of a certificate from the management.

Items which are in good condition will be then divided into two categories i.e. A and B

- Category A Items which have 80% of value and are 20% in number.
- Category B Items which have 20% of value and are 80% in number.

The analysis will be done based on unit cost of the item.

Items in category A will be physically verified to the extent of 100%.

Stores and spares will be valued at cost. In determination of cost, FIFO method of costing will be used.

Guidelines for Opening Balance Sheet

The cost of inventories should comprise all cost of purchase and cost of conversion incurred to bring the asset to its present location and condition.

15.5. Prepaid expenses

Under the present set of Rules, no records have been prescribed for the prepaid expenses. Some ULBs make informal records such as hand registers and lists for the prepaid expenses.

Expenses that have been paid in advance and relates to a period after 31st March 2004 should be recognised as prepaid expenses.

15.6. Arrears of property tax

Assessment department determines the total amount of property tax expected to be collected during the year. It then hands over the responsibility of collection to the Tax Collection department. The total amount of property tax in arrears is ascertainable from Form no. 12 "Demand and Collection Register", Form no. 13 "Abstract of Demand and Collection Register" and Form no. 14 "Consolidated Abstract" of the Rules.

Ageing will be done for the arrears of property tax and will be shown in the Balance Sheet as Notes to Accounts. Ageing in the following slabs will be done i.e. below 3 years, 3-5 years, 5-10 years, 10-15 years and above 15 years

Arrears of sick and closed industries will be provided for 100% as Provision

15.7. Arrears of all other taxes, licenses and fees

This will include all other receivable other than property tax. This includes rent from municipal shops and markets, water charges and tax, advertisement tax, other fees, licenses, etc. Water tax and rent from municipal properties will be accounted for on accrual basis. All other forms of income will be accounted on cash basis.

The water tax in the ULBs is imposed on a slab basis of property tax. The total amount of water tax in arrears can be ascertained from the Form no 12, 13 and 14 which are maintained separately for every tax source of revenue.

The amount of the "arrears of rent" is ascertainable from the Form 37 "Demand and Collection Register of Rents", which is maintained according to the Rules.

Provision will be made similar to that followed for property tax in case of water charge and rental income.

Guidelines for Opening Balance Sheet

15.8. Interest on investments

Interest on investments will be accounted for on accrual basis.

15.9. Interest on bank deposits

Interest on bank accounts and deposits will be accounted for on accrual basis.

15.10. Interest on loans and advances

Interest on loans and advances will be accounted for on accrual basis.

15.11. Recoverable deposits

The ULB may have kept deposits with third parties or with the Government or with any other person. Based on documentary evidence and if it is classified as a deposit, it will be shown as recoverable deposits and booked as current asset.

15.12. Receivables against Deposit works

If the amount expended by ULB, is more than the amount received against the deposit works, it will be shown under this head. The actual value as per the books of account shall be taken.

16. LOANS AND ADVANCES

16.1. Loans and advances can be in the nature of:

Advances to staff

Advance to contractors and suppliers

Material cost recoverable from contractors

16.2. Common guidelines

100% physical verification of documents will be done to ascertain the amount and name of party.

The closing balance of advance is ascertainable from the "Advance Ledger", which is maintained in accordance with Form no 67 of the Rules. The advance ledger is maintained separately for employees, contractors and suppliers.

16.3. Advances to staff

All unadjusted advances to staff e.g. house building advance, puja/festival advance, will be accounted for on actual basis.

No provision shall be made to the unadjusted advances to staff. An annexure would be attached to the balance sheet showing the individual person-wise break-up of various advances given under different heads.

Guidelines for Opening Balance Sheet

16.4. Advance to contractors and suppliers

Advance given to contractors and suppliers for goods and services will be accounted on actual basis.

16.5. Material cost recoverable from contractors

Sometimes the ULB may have provided materials to contractors for construction purposes. This would have been provided from the stores. The value of materials issued, if recoverable from the contractor, will be shown as cost recoverable.

17. CURRENT INVESTMENTS

17.1. Current investments are investments that are readily realisable and not intended to be held for more than one year.

17.2. Presently the ULB maintains data related to investments in Form No. 88, Memorandum of Investments.

17.3. The Executing agency will do a 100% physical verification of the original certificates.

17.4. Valuation will be done at cost.

18. SHORT TERM BORROWINGS

18.1. Short term borrowings are those which are due for not more than one year as at the date of balance sheet.

18.2. The amount of outstanding loans can be ascertained from the "Loan Register", maintained in accordance with the Form no. 72 of the Rules. Form no. 72 "Loan Register" does not differentiate between long-term borrowings and short-term borrowings. The short term borrowings shall be taken out from this register and would be recorded separately in the same format as prescribed under Form no 72.

18.3. Short term borrowing will be bifurcated as secured and unsecured, if any.

18.4. The Executing agency will ascertain the actual amount outstanding through confirmation of balance with the creditor and also by verifying through original documents

18.5. In case an amount had been received as loan, but has not still been waived off by the Government, the same will still figure in the balance sheet as a liability.

18.6. Interest accrued and due on these loans will be included here. Calculation of interest payable should be due on accrual basis

19. CURRENT LIABILITIES

19.1. Current liabilities will constitute the following:

Bank overdraft

Guidelines for Opening Balance Sheet

Security deposit/ Retention money/ Earnest money from contractors and suppliers

Deposit works

Other deposits

Advance collection of taxes and non-taxes

Income tax deducted payable

Sales tax deducted payable

Interest accrued but not due on loans

Unpaid salary and other employee related benefits

Unpaid electricity bills

Unpaid bills of suppliers and contractors

Payable to Government agencies

Recoveries from staff-payable

19.2. Bank overdraft

Bank overdraft will be verified with either the bank statement or a bank balance certificate.

19.3. Security deposit/ Retention money/ Earnest money from contractors and suppliers

Security deposit/ Retention money/ Earnest money is ascertainable from the "Deposit Ledger", which is maintained in accordance with the Form no 69 of the Rules.

This amount will be ascertained/ cross-checked from the original documents.

Deposits received but not encashed will not be accounted for.

19.4. Deposit Works

Deposit works shall include the amount received from persons specifically for the construction of works. The deposit works are generally received from Zilla Parishads, MPLADS, MLA funds (BEUP), for specific works. The unutilised or the balance amount of these grants will be shown under this head.

If the amount is received for the construction of a specific asset for ULB, then the CWIP/ Asset would be shown in the books of account of ULB.

Guidelines for Opening Balance Sheet

19.5. Other deposits

Other deposits will be ascertained from original documents.

19.6. Advance collection of taxes and non-taxes

In rare cases there may be advance collection of taxes and non-taxes like license fees.

The amount will be provided by the respective departments from the various registers that they prepare. The Executing agency will check the receipts from original documents and verify the register entries. While checking advance collection, it has to be ensured that there are zero arrears on account of both principal and interest. In case there is a balance, the advance collection will have to be adjusted with arrears first.

Only in case of zero arrears will an advance collection be booked, this will be calculated on individual basis.

19.7. Income tax deducted payable

Income tax deducted from payments and not deposited with the Government will be accounted here.

In case payments are regular, then the payment for March which would have been done in April will be taken as a liability.

In case payments are not regular and there exists a default in payment, then a reconciliation of deduction with payments to Government will have to be done to find out actual arrears including interest. The Executing agency will do a reconciliation to find out an accurate balance.

19.8. Sales tax deducted payable

Sales tax deducted from payments and not deposited with the Government will be accounted here.

In case payments are regular, then the payment for March which would have been done in April will be taken as a liability.

In case payments are not regular and there exists a default in payment, then a reconciliation of deduction with payments to Government will have to be done to find out actual arrears including interest and penalty. The Executing agency will do a reconciliation as is required to find out an accurate balance.

19.9. Interest accrued but not due on loans

Interest on borrowings, which have, although accrued but is not due will be accounted here. The Executing agency will have to determine the amount based on original documents

Guidelines for Opening Balance Sheet

19.10. Unpaid salary and other employee related benefits

Any unpaid salary or employee related benefit which is payable will be covered here. The amount can be ascertained from the Form 45, "Department wise Salary Bills" of the Rules. Executing agency will have to check the calculations and determine whether the amount covers all liabilities on account of staff payments.

19.11. Unpaid electricity bills

Based on original bills and documents, unpaid bills of electricity will be booked as a liability.

19.12. Unpaid bills of suppliers and contractors

Form 79 contains details of unpaid expenses/ supplier's bills/ contractor's bills.

Expenses which are unpaid only after one month are entered here. Thus there is a probability that bills passed and unpaid only till February will be entered in the Register. Unpaid bills of March will not have been entered. Thus the Executing agency will have to do a full checking of all unpaid bills and account for it. Approved bills may also be lying in other departments. This will also need to be entered.

19.13. Payable to Government agencies

Some amounts may be payable to other Government agencies for which a bill may also not have been received. These will be enquired and checked with all departments to ascertain if any payments are pending with other Government agencies, which may have been pending for a long time e.g. unpaid water charges to KMDA.

19.14. Recoveries from staff-payable

Certain deductions are made from staff salaries e.g. provident fund, income tax, recurring deposit, insurance premium which are to be deposited with the concerned authorities. It may so happen that the ULB has defaulted on one or more occasions. This amount which is payable will have to be booked as a liability.

A reconciliation of deduction with payments to the concerned authorities will have to be done to find out actual arrears. The Executing agency will do a reconciliation for maximum 5 years to find out an accurate balance.

20. PROVISIONS

- 20.1. The provision made against tax and non-tax receivables, will not affect the opening/ closing balances of the Demand and Collection register and all such registers for the purpose of recovery of dues from the concerned parties. Provisioning in accounts does not amount to waiver of the demand from the

Guidelines for Opening Balance Sheet

concerned party. The ULB should not decrease its efforts in collection of arrears.

- 20.2. Provision related to arrears in property tax, water tax and rent from municipal properties will be accounted here.
- 20.3. Any other present obligation that may arise because of past events, which can be reliably estimated based on experience and will result in an outflow of resources, will be provided for.

21. OTHER FUNDS

- 21.1. Other funds/ grants will constitute balances of all other funds.
- 21.2. Details of grants will be available in Forms 1 and 75.
- 21.3. Grants received against non-depreciable asset will be credited to Capital Reserve while those received against depreciable asset will be credited to Grant against Asset.

22. BALANCES OF GOVERNMENT GRANTS

- 22.1. Balances of all specific government grants will be shown specifically under this head. Balance of Government Grant can also be ascertained from the respective Treasury. The Executing agency can on a test check basis confirm the balance with the Treasury.
- 22.2. Excess of government grant over the cost of a fixed asset, will be shown separately as "Excess of grant over asset value".
- 22.3. Purchase or construction of assets that have been done out of grants have been shown at gross value and the corresponding grant as a liability. An amount proportionate to the depreciation of the fixed asset should be deducted from the grant as well.

23. LONG TERM BORROWINGS

- 23.1. Borrowings in the nature of long term and that are repayable after one year and that are not a part of short term borrowings, will constitute long term borrowings.
- 23.2. Details of long term borrowings can be obtained from Form 75.
- 23.3. The Executing agency will need to go through all original papers to determine the exact liability on account of long term borrowings.

24. MUNICIPAL GENERAL FUND

- 24.1. The difference of all assets and liabilities will be the opening balance of Municipal General Fund.
- 24.2. This will be determined as a balancing figure in the balance sheet.
- 24.3. In case of liabilities exceeding the assets, the balance will be shown as "Capital Deficit" under Application of funds.

25. CONTINGENT LIABILITIES

- 25.1. Contingent liabilities will appear as a note to the balance sheet.
- 25.2. In case of compulsory acquisition of land, if the amount payable is under litigation, the extra amount that could be paid, will be identified as contingent liabilities.
- 25.3. In case of any other legal cases that may be pending in any of the courts in the country or abroad and may have a financial impact on the ULB, an appropriate amount of compensation for these cases, will be disclosed as contingent liabilities, if ascertainable. Otherwise a fact of it should be disclosed.
- 25.4. Any other obligation which is a result of past activities, which cannot be reliably estimated and outflow of economic resources is contingent to the happening/ non-happening of certain activities.

26. CAPITAL COMMITMENTS

- 26.1. Capital Commitments will appear as a note to the balance sheet.
- 26.2. In the case of value of work sanctioned, estimate approved and all formalities have been completed but work has not commenced, –such cases will form a part of capital commitments.
- 26.3. Estimated amount of contracts remaining to be executed on capital accounts and not provided for will form part of capital commitments.

27. RETIREMENT BENEFITS

- 27.1. Retirement benefits will not be accounted for at this stage. This can be taken up by the ULB as a subsequent exercise. Here only the actual amount ascertained of an employee who has retired/ left the organisation and payable to him will be accounted for.

28. FORMAT OF OPENING BALANCE SHEET

- 28.1. Format for preparation of balance sheet has been prepared and is attached as Annexure 1 to these guidelines. The annexure has the format of vertical balance sheet and several schedules.
- 28.2. Detailing of heads in the schedules will be as per chart of accounts forming a part of Accounting Manual. This will be provided by CMU to the Executing agency, in due course of time.

29. CERTIFICATE ACCOMPANYING OPENING BALANCE SHEET AS ON 1ST APRIL 2004

- 29.1. The Executing agency will along with the balance sheet also provide a certificate in the prescribed format. The format forms a part of the guidelines as Annexure 3.

30. ISSUE LOG WITH CMU

- 30.1. Issue log is a mechanism that will be used by the executing agencies for raising any issue or for seeking change to these guidelines.
- 30.2. All major issues arising during the preparation of balance sheet will have to be raised with the CMU. The CMU will then either settle it at their level or if necessary, raise it to GoWB level. The issue log should be done as soon as it arises so that disposal of it can be made within time. A format for issue log is provided in Annexure 4.

A1. FORMAT OF OPENING BALANCE SHEET
OPENING BALANCE SHEET OF THE MUNICIPALITY
OF AS ON 1ST APRIL 2004
NAME OF THE ULB:

OPENING BALANCE SHEET AS ON 1ST APRIL 2004				
Description of items	Schedule No.	Amount	Amount	Amount
SOURCES OF FUNDS				
Reserves and Surplus				
Municipal (General) Fund	B-1			XXXX
Earmarked Funds	B-2			XXXX
Reserves	B-3			XXXX
Grants, Contributions for specific purposes	B-4			XXXX
Loans				
Secured loans	B-5		XXX	
Unsecured loans	B-6		XXX	XXXX
TOTAL				XXXX
APPLICATION OF FUNDS				
Fixed Assets including Statues & Heritage Assets	B-11			
Gross Block		XX		
Less: Accumulated Depreciation		XX		
Net Block			XXX	
Capital work-in-progress			XXX	XXXX
Investments				
Investment - General Fund	B-12		XXX	
Investment - Other Funds	B-13		XXX	XXXX
Working Capital				
Current assets, loans & advances				
Stock in hand (Inventories)	B-14		XXX	
Sundry Debtors (Receivables)	B-15			
Gross amount outstanding		XX		
Less: Accumulated provision against bad and doubtful receivables		XX	XXX	
Prepaid expenses	B-16		XXX	
Cash and Bank Balances	B-17		XXX	
Loans, advances and deposits	B-18	XX		
less:				
Current Liabilities and Provisions				
Deposits received	B-7		XXX	
Deposit works	B-8		XXX	
Other liabilities (Sundry Creditors)	B-9		XXX	
Provisions	B-10		XXX	XXXX
Other Assets	B-19			XXXX
Miscellaneous Expenditure (to the extent not written off)	B-20			XXXX
Capital Deficit				XXXX
TOTAL				XXXX
Notes to the Balance Sheet				

Guidelines for Opening Balance Sheet

Schedule B-1: Municipal (General) Fund	
Particulars	Opening balance
	(Rs.)
1	2
Municipal Fund	
Total Municipal fund	

Schedule B-2: Earmarked Funds - Special Funds/Sinking Fund/Trust or Agency Fund							
<i>Amount in Rs.</i>							
Particulars	Special Fund 1	Special Fund 2	Special Fund 3	Special Fund 4	Special Fund 5	Special Fund 6	Special Fund 7
Code No.							
Net balance at the year end							

Schedule B-3: Reserves	
Particulars	Balance at the end of the current year (Rs.)
1	2
Capital Reserve Grant against fixed assets Borrowing Redemption Reserve Special Funds (Utilised) Statutory Reserve General Reserve Revaluation Reserve	
Total Reserve funds	

Schedule B-4: Grants & Contribution for Specific Purposes							
<i>Amount in Rs.</i>							
Particulars	Grants from Central Government	Grants from Central Government	Grants from Other Government Agencies	Grants from Financial Institutions	Grants from Welfare Bodies	Grants from International Organisations	Others
Code No.							
Net balance at the year end							

Guidelines for Opening Balance Sheet

Schedule B-5: Secured Loans	
Particulars	Current Year Amount (Rs.)
1	2
Loans from Central Government	
Loans from State government	
Loans from Govt. bodies & Associations	
Loans from international agencies	
Loans from banks & other financial institutions	
Other Term Loans	
Bonds & debentures	
Other Loans	
Total Secured Loans	

Notes:

1. The nature of the Security shall be specified in each of these categories.
2. Particulars of any guarantees given shall be disclosed.
3. Terms of redemption (if any) of bonds/debentures issued shall be stated, together with the earliest date of redemption.
4. Rate of Interest and Original Amount of loan and outstanding balance can be provided for every Loan under each of these categories separately.
5. For loans disbursed directly to an Executing Agency, please specify the name of the Project for which such loan is raised.

Schedule B-6: Unsecured Loans	
Particulars	Current Year Amount (Rs.)
1	2
Loans from Central Government	
Loans from State government	
Loans from Govt. bodies & Associations	
Loans from international agencies	
Loans from banks & other financial institutions	
Other Term Loans	
Bonds & debentures	
Other Loans	
Total Un-Secured Loans	

Note:

Rate of Interest and Original Amount of loan and outstanding balance can be provided for every Loan under each of these categories separately.

Guidelines for Opening Balance Sheet

Schedule B-7: Deposits Received	
Particulars	Current Year Amount (Rs.)
1	2
From Contractors From Revenues From staff From Others	
Total deposits received	

Schedule B-8: Deposit Works	
Particulars	Balance outstanding at the end of the current year Amount (Rs)
1	2
Civil Works Electrical works Others	
Total of deposit works	

Schedule B-9: Other Liabilities (Sundry Creditors)	
Particulars	Current Year Amount (Rs)
1	2
Creditors Employee Liabilities Interest Accrued and Due Recoveries Payable Government Dues Payable Refunds Payable Advance Collection of Revenues Others	
Total Other liabilities (Sundry Creditors)	

Schedule B-10: Provisions	
Particulars	Current Year Amount (Rs)
1	2
Provision for Expenses Provision for Interest Provision for Other Assets	
Total Provisions	

Guidelines for Opening Balance Sheet

Schedule B-11: Fixed Assets			
Particulars	Gross Block Cost at the end of the year	Accumulated Depreciation Total at the end of the year	Net Block At the end of the year
1	2	3	4
Land			
Buildings			
Statues and heritage assets			
Statues and valuable works of art and antiquities			
Heritage buildings			
Infrastructure Assets			
Parks and Playgrounds			
Roads and Bridges			
Sewerage and drainage			
Water ways			
Public Lighting			
Other assets			
Plants & Machinery			
Vehicles			
Office & other equipment			
Furniture, fixtures, fittings and electrical appliances			
Other fixed assets			
Total			
Capital Work-in-progress			

Additional disclosures to the Schedule

- i. Value of fixed assets under dispute or litigation shall be provided. The status of the legal case as at the reporting date of the financial statements shall also be mentioned.
- ii. The details & value of assets, which are not yet physically identified/traced, shall be disclosed separately.
- iii. Details and value of assets under leases and hire purchase needs to be disclosed as a note.

Note:

1. Gross Block means cost of acquisition of fixed assets.
2. Roads and bridges include roads and pavements, bridges, culverts and flyovers, subways and causeways.
3. Waterworks includes waterways, water supply and reservoirs, deep tube wells.
4. Street light posts shall form a part of Public lightning.
5. Livestock and intangible assets shall form a part of other fixed assets.
6. No depreciation is to be charged on "Land", Heritage Assets including Buildings and "Capital work-in-progress".

Guidelines for Opening Balance Sheet

Schedule B-12: Investments - General Fund			
Particulars	With whom invested	Face value (Rs.)	Current year Cost (Rs.)
1	2	3	4
Central Government Securities			
State Government Securities			
Debentures and Bonds			
Preference Shares			
Equity Shares			
Units of Mutual Funds			
Other Investments			
Total of Investments-General Fund			

1. Provide break-up of other investments as applicable
2. Aggregate amount of quoted investments shall be disclosed. Aggregate amount of unquoted investments shall also be disclosed.

Schedule B-13: Investments - Other Funds			
Particulars	With whom invested	Face value (Rs.)	Current year Cost (Rs.)
1	2	3	4
Central Government Securities			
State Government Securities			
Debentures and Bonds			
Preference Shares			
Equity Shares			
Units of Mutual Funds			
Other Investments			
Total of Investment-Other Funds			

1. Provide break-up of other investments as provided for General Fund Investments.

Schedule B-14: Stock in Hand (Inventories)	
Particulars	Current Year Amount (Rs)
1	2
Stores	
Loose Tool	
Others	
Total Stock in hand	

Guidelines for Opening Balance Sheet

Schedule B-15: Sundry Debtors (Receivables)			
Particulars	Gross Amount (Rs.)	Provision for Outstanding revenues (Rs.)	Net Amount (Rs.)
1	2	3	4=2-3
<u>Receivables for Property Taxes</u>			
Less than 3 years *			
3 years to 5 years *			
5 years to 10 years*			
10 years to 15 years*			
More than 15 years*			
Sub total			
Net Receivables of Property Taxes			
<u>Receivable of Other Taxes</u>			
Less than 3 years*			
3 years to 5 years *			
5 years to 10 years*			
10 years to 15 years*			
More than 15 years*			
Sub- total			
Net Receivables of Other Taxes			
<u>Receivables for Fees and User Charges</u>			
Less than 3 years*			
3 years to 5 years *			
5 years to 10 years*			
10 years to 15 years*			
More than 15 years*			
Sub total			
Receivables from Other Sources			
Less than 3 years*			
3 years to 5 years *			
5 years to 10 years*			
10 years to 15 years*			
More than 15 years*			
Sub total			
Receivables from Government			
Total of Sundry Debtors (Receivables)			

Note:

The provision made against accrual items would not affect the opening/ closing balances of the Demand and Collection Ledgers for the purpose of recovery of dues from the concerned parties/ individuals.

Guidelines for Opening Balance Sheet

Schedule B-16: Prepaid Expenses	
Particulars	Current Year Amount (Rs)
1	2
Establishment	
Administrative	
Operations & Maintenance	
Total Prepaid expenses	

Schedule B-17 :Cash and Bank Balances	
Particulars	Current Year Amount (Rs)
1	2
Cash	
Balance with Bank — Municipal Funds	
Nationalised Banks	
Other Scheduled Banks	
Scheduled Co-operative Banks	
Post Office	
Treasury	
Sub-total	
Balance with Bank — Special Funds	
Nationalised Banks	
Other Scheduled Banks	
Scheduled Co-operative Banks	
Post Office	
Treasury	
Sub-total	
Balance with Bank — Grant Funds	
Nationalised Banks	
Other Scheduled Banks	
Scheduled Co-operative Banks	
Post Office	
Treasury	
Sub-total	
Total Cash and Bank balances	

Guidelines for Opening Balance Sheet

Schedule B-18: Loans, advances and deposits	
Particulars	Balance outstanding at the end of the year (Rs.)
1	2
Loans and advances to employees Loans to Others Advance to Suppliers and Contractors Advance to Others Deposit with External Agencies Other Current Assets	
Sub Total	
Total Loans, advances and deposits	

Schedule B-19: Other Assets	
Particulars	Current Year Amount (Rs)
1	2
Deposit Works Other asset control accounts Total Other Assets	

Schedule B-20: Miscellaneous Expenditure (to the extent not written off)	
Particulars	Current Year Amount (Rs)
1	2
Loan Issue Expenses Deferred Discount on Issue of Loans Deferred Revenue Expenses Others	
Total Miscellaneous expenditure	

Schedule B-21: Notes to the Balance Sheet

1. Contractual liabilities not provided for:
 - a) Amount of contracts entered on account of capital works but on which no works has commenced.
 - b) In respect of claims against the ULB, pending judicial decisions.
 - c) In respect of claims made by employees.
 - d) Other escalation claims made by contractors.
 - e) In case of any other claims not acknowledged as debts.
2. List of assets which have been handed over to the ULB, but the title deed has not been executed.
3. List of assets which are in permissive possession and no economic benefits are being derived from it.
4. Receivables from taxes, etc. which is not being collected because of litigation.
5. Amount of any guarantee given by the ULB on behalf of Councillors or staff.

A2. SIGNIFICANT ACCOUNTING POLICIES

- A2.1. Fixed assets have been valued at historical cost wherever records were available. In case an asset has been created out of grants, the gross value of the asset has been shown as assets and the corresponding grant as liability, as proportionately reduced by depreciation.
- A2.2. Depreciation has been provided on straight line method by estimating the useful life of the asset.
- A2.3. Gross amount paid or payable for works based on notings in the Measurement Book as on 31st March 2004 has been recognised as capital work in progress.
- A2.4. Long term investments have been valued at cost.
- A2.5. Stores and spares have been valued at cost. In determination of cost, FIFO method of costing has been used.
- A2.6. In calculation of arrears of property tax, arrears which relates to sick and closed industries 100% provision has been made on an individual basis.
- A2.7. Arrears of water charges and rental income from municipal properties have been accounted for as done for property tax. No accrual of revenue has been done for other receivables.
- A2.8. Valuation of current investments has been done on cost.
- A2.9. The difference between assets and liabilities has been recognised as the opening balance of Municipal General Fund or as Capital Deficit.

**A3. CERTIFICATE ACCOMPANYING OPENING
BALANCE SHEET AS ON 1ST APRIL 2004**

(On the letterhead of the Executing agency)

We have prepared / verified the Opening Balance Sheet as on 1st April 2004 of (*Name of the ULB*) and examined all relevant documents, supportings and records. The balance sheet has been prepared based on accrual-based double entry accounting system. All items that could have been included have been included and it is certified that no items have been left out in preparation of the opening balance sheet.

We have obtained all information and explanations, which to the best of our knowledge and belief were necessary for the assignment. In cases where information was not available, a certificate from the Board of Councillors has been obtained. These certificates are attached herewith. The Board of Councillors have approved and adopted the opening balance sheet at their meeting held on (*Date of the meeting*).

We have prepared / verified the opening balance sheet in accordance with Guidelines for preparation of opening balance sheet and approved by the Government of West Bengal. In cases where there were doubts, explanations were taken from the competent authorities.

(*Space for remarks including exceptions made to the Guidelines*)

Date:

Signature and Seal of the
Executing agency

Place:

A4. FORMAT FOR ISSUE LOG WITH CMU

ISSUE LOG WITH CMU

(On the letterhead of the Executing agency)

Issue log No.

Date:

Name of executing agency:

Name of ULB

Sl. No	Topic	Details of Issue	.Nature*	Likely Impact	Work around	Action by CMU	Go WB approval, if required	Disposal of issue by Executing agency
1.								
2.								
3.								

***Nature: Policy (P), Completeness/Reliability (C), Disclosure (D), Operational (O)**

Signature of executing agency

A5. WHOLESALE PRICE INDEX

Index number of wholesale prices in Kolkata (All Combined)

	Base 1970- 71 = 100 All Combined
1980-81	225
1990-91	510
1995-96	870
1999-00	1039
2000-01	1084
2001-02	1122
2002-03	1133
2003-04 (Dec)	1178

(Source: Table 10.0 Statistical Appendix, Economic Review 2003-04, Government of West Bengal)

Index of years not specified above shall be taken on an annual increase basis between the indices provided for the two years. E.g. index for 1992-93 shall be calculated as follows:

**1990-91 = 510, 1995-96 = 870, thus there is an annual increase of 11.273%.
Index for 1992-93 is 631**

A6. ESTIMATED LIFE OF ASSET

Sl. No.	Description of Assets	Details of Assets that are to be included	Estimated Life
01.	Land	Parks, Burial Grounds, Play grounds Roads etc. and any vacant site on which no construction available and kept as vacant site. This includes the open space donated by the layout promoters, to the council by transfer deeds	
02.	Building- Class I Civil Structures (Structure with R.C. roof)	Office Buildings, School Buildings, Public conveniences, Hospitals, Dispensaries, Clinics, Maternity & Child Welfare centers, Swimming pool, Market places, Slaughter houses, Dhobi khana, Creches, Lethal chamber, Stadia, Shopping complexes, Zoo, Bus stand, T. B. / I. B, Town hall, Community hall, Lodging Houses, Cinema theatre, Staff quarters etc.	30 years
03.	Building-class-II Civil Structures (Structure with roof other than R.C. or without roof)	Nutritious meal centers, Compound walls	20 years
04.	Subways and Cause ways	Cause ways, vehicular subways, pedestrian over bridges	15 years
05.	Bridges and Flyovers	Bridges and Flyovers	30 years
06.	Storm water Drains-open Drains & Culverts	Storm water Drains-open Drains & Culverts	15 years
07.	Heavy Vehicles	Lorry, Tractor, Tipper, Bus, etc.	10 years
08.	Light Vehicles	Jeeps, Cars, Power Tillers, Motorcycles, Mini lorry, Auto rickshaw etc.	10 years

Guidelines for Opening Balance Sheet

Sl. No.	Description of Assets	Details of Assets that are to be included	Estimated Life
09.	Other Vehicles	Single driven RC, Double Driven RC, Cart etc (RC- Rubbish cart), Bi-cycles, Tri-cycles	3 years
10.	Furniture, Fixtures, Office Equipments etc.	Steel chairs, Steel Tables, Wooden chairs, Wooden tables Steel racks, Wooden racks, Steel cupboards, Typewriters, Duplicators, Xerox machines, Communication Equipments, Calculators, Air conditioners, Water coolers, Refrigerators, Fans, Electrical fittings, Other Office equipments (e.g. Bradma Registrex) Radios, TVs, Stools, Public address systems, Wireless equipments, Gestetners etc.	10 years
11.	Plant / Machinery & Equipment (excluding office equipment)	Road rollers, Bulldozers, Mechanical Sweeper, Pay Loader, Submersible pumps, Mixing mortars, other Civil Engineering equipments, Medical equipments in Hospitals, Dispensaries & Maternity centers, School equipments, Public health equipments, Tower clocks, Electrical equipments including generators, Motor pumps, other Plant & Machinery etc.	10 years
12.	Roads & Pavements Concrete (including barricades)		7 years
13.	Bituminous road over Jhama metal / Stone metal		3 years
14.	Road with Jhama metal only		2 years
15.	Pavements with Brick & Brick Paved Road		10 years

Guidelines for Opening Balance Sheet

Sl. No.	Description of Assets	Details of Assets that are to be included	Estimated Life
16.	Water Supply pipe line	M.S/G.I/ C.I/D.I Asbestos / Plastic	40 years 10 years
17.	P u m p s a n d Motor		10 years
18.	Water Reservoir		40 years
19.	a) Deep Tubewell b) Hand Tubewell		10 years 5 years
20.	Amenities of parks and play grounds		5 years
21.	Light post		10 years
22.	E l e c t r i c a l installation Transformers, Cables	HT & LT	15 years
23.	E l e c t r i c a l Installations for	Mercury Vapour, Sodium Vapour, Tube Light	5 years
24.	Computer	Computer Machinery, peripherals like printers, mouse etc.	5 years
25.	Carts	Single & Double Bullock carts	5 years
26.	Wheel Barrow		2 years

A7. ADDITIONAL FORMATS FOR IDENTIFICATION OF ASSETS
Register of Buildings

S.no (1)	Name/ description of the building (2)	Location (3)	Plinth area of building (4)	Plinth area rate of building (5)	Year of construction/ purchase (6)	Total construction cost (7)	Total Purchase cost (8)	Total estimated cost (9)	Depreciation (10)	Depreciated value as on March 31, 2004(11) Net Block
						Gross Block	Gross Block	Gross Block		

Plinth area rate of building, and the cost of building using plinth area rate method shall be used only in the case, when the actual cost of construction/purchase cost is not available.

In case the building has been constructed by the ULB, then reference shall also be given for the register of works.

For the cost of the building, any of the columns 7,8 or 9 shall be filled in.

Information to fill the register can be obtained from Register of Works.

Register of Vehicles

S.no	Name/description of vehicles	Date of purchase	Stores and spare register reference no	Total cost of purchase Gross Block	Depreciation	Depreciated value as on March 31, 04 Net Block

Information to fill the register can be obtained from Register of Stock and stores.

Register of Furniture and fixtures

S.no	Name of the Asset	Location	Quantity	Rate at which purchased	Year of Purchase	Total purchase cost (Gross Block)	Depreciation	Depreciated value as on March 31, 2004 (Net Block)

Information to fill the register can be obtained from Register of Tools and Plants.

Register of Office and other equipments

S.no	Name of the Asset	Location	Quantity	Rate at which purchased	Year of Purchase	Total purchase cost (Gross Block)	Depreciation	Depreciated value as on March 31, 2004 (Net Block)

Information to fill the register can be obtained from Register of Tools and Plants.

Register of Statues and valuable works of art and antiquities

S.no (1)	Name/description of the Statue /Valuable work of art/ Antiquities (2)	Location (3)	Technical details (4)	Year of construction/ purchase (5)	Total construction cost (6)	Total Purchase cost (7)	Total estimated cost (8)

Note: One of the three columns i.e. 6, 7 or 8 shall be filled in for cost.

Register of Heritage Buildings

S.no (1)	Name/ description of the Heritage Building (2)	Location (3)	Year of Notification as Heritage Building (4)	Plinth area of building (5)	Plinth area rate of building (6)	Year of construction/ purchase (7)	Total construction cost (8)	Total Purchase cost (9)	Total estimated cost (10)

Plinth area rate of building, and the cost of building using plinth area rate method shall be used only in the case, when the actual cost of construction/purchase cost is not available.

In case the building has been constructed by the ULB, then reference shall also be given for the register of works.

For the cost of the building, any of the columns 8, 9 or 10 shall be filled in.

Information to fill the register can be obtained from Register of Works.

Register of Infrastructure Assets

S.no (1)	Name/ descrip- tion of the Infra- structure Asset (2)	Location (3)	Technical measure- ment (4)	Technical rate (5)	Year of construc- tion/purcha se (6)	Total construc- tion cost (7) Gross Block	Total Purchase cost (8) Gross Block	Total estimated cost (9) Gross Block	Deprecia- tion (10)	Depreciate d value as on March 31, 2004 (11) Net Block

Technical rate of infrastructure asset, and the cost of infrastructure asset using technical rate method shall be used only in the case, when the actual cost of construction/purchase cost is not available.

In case the infrastructure asset has been constructed by the ULB, then reference shall also be given for the register of works.

For the cost of the infrastructure asset, any of the columns 7,8 or 9 shall be filled in.

Information to fill the register can be obtained from Register of Works.